which may indirectly [result in a proxy being furnished, revoked or withheld],"[145] an interpretation that does not, by its terms, require inquiry into the speakers' interest or subjective intention. To inject a subjective element into the test of whether a communication is a "solicitation" under Rule 14a-1(l)(1)(iii) as argued by one commenter (*i.e.*, determining whether the speaker is "completely indifferent to the outcome of the matter as to which shareholder approval was sought"[146]) runs counter to this case law.

Relying on its broad rulemaking authority, the Commission has since 1956 defined a solicitation to include any "communication to security holders under circumstances reasonably calculated to result in the procurement, execution, or revocation of a proxy."[147] This definition advances Section 14(a)'s overarching purpose of ensuring that communications to shareholders about their proxy voting decisions contain materially complete and accurate information.[148] It

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(5th Cir. 1974) ("Whether or not a particular communication is a solicitation within the meaning of 14(a) is a question of fact dependent upon the nature of the communication and the circumstances under which it is transmitted."); *Dyer v. SEC*, 291 F.2d 774, 777-78 (8th Cir. 1961) (indicating that the determination of whether a communication constitutes a solicitation depends on the "nature and circumstances" of a communication and whether it can be rationally inferred that the speaker "knew or could be expected to foresee that the things which he said might on their implication and innuendo affect the action of a stockholder in his granting of proxy authority," regardless of "whatever [the speaker] may have had in his mind"); *Schwartzberg*, 929 F.Supp. at 113-14 (noting that if a statement "presents the transaction in a manner objectively likely to predispose security holders toward or against it . . . it must comply with the proxy rules").

Among the factors relevant to the objective inquiry into whether a communication constitutes a "solicitation" are (1) "the contents of the communication," (2) "the conditions under which the communication is distributed," and (3) "[t]he timing of the communication in relation to the relevant surrounding circumstances." *Gas Natural Inc.*, 624 Fed. Appx. at 950. As described above, the proxy voting advice that proxy voting advice businesses send their clients generally constitutes "solicitations" under each of those three factors. *See supra* notes 75-79 and accompanying text.

[145] *Long Island Lighting Co.*, 779 F.2d at 796.

[146] *See* letter from ISS.

[147] 17 CFR 240.14a-1(l)(1)(iii).

[148] *Borak*, 377 U.S. at 432*; see also* S. Rep. No. 1455, 73d Cong., 2d Sess., 74 (1934) ("In order that the stockholder may have adequate knowledge as to the manner in which his interests are being served, it is essential that he be enlightened not only as to the financial condition of the corporation, but also as to the major questions of policy, which are decided at stockholders' meetings."); H.R. Rep. No. 1383, 73d Cong., 2d Sess., 14 (1934) (explaining the need for "adequate disclosure" and "explanation"); Communications Among Shareholders Adopting Release at 48277.

would be inconsistent with that goal if a person whose business is to offer and sell voting advice broadly to large numbers of shareholders, with the expectation that their advice will factor into shareholders' voting decisions, were beyond the reach of Section 14(a). The fact that shareholders may retain providers of proxy voting advice to advance their own interests does not obviate these concerns.

As described above, some commenters also asserted that the proposed amendment to Rule 14a-1(l)(1)(iii) conflicts with well-established practice in the proxy voting advice business industry and the Commission's historical treatment thereof.[149] As an initial matter, and as noted in the Interpretive Release and the Proposing Release, the amendment to Rule 14a-1(l)(1)(iii) is in accordance with, and represents a codification of, the Commission's longstanding view that proxy voting advice generally constitutes a "solicitation." This view was originally set forth in a 1964 release[150] and reiterated by the Commission in 1979[151] and 2010.[152] The cited releases did not limit the scope of the term "solicitation" so as to exclude proxy voting advice provided by "disinterested persons." Instead, the Commission articulated its view that proxy voting advice generally constitutes a "solicitation," without reference to a particular class of market participants that must be providing such advice.[153] Any suggestion otherwise requires reading into the releases

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[149] *See supra* note 95 and accompanying text.

[150] *See* Broker-Dealer Release at 341 ("Material distributed during a period while proxy solicitation is in progress, which comments upon the issues to be voted on or which suggests how the stockholder should vote, would constitute soliciting material.").

[151] *See* 1979 Adopting Release at 68766; Shareholder Communications, Shareholder Participation in the Corporate Electoral Process and Corporate Governance Generally, Release No. 34-16104 (Aug. 13, 1979) [44 FR 48938 (Aug. 20, 1979)], at 48941 n.25.

[152] Concept Release at 43009 ("As a general matter, the furnishing of proxy voting advice constitutes a 'solicitation' subject to the information and filing requirements in the proxy rules.").

[153] Although the Commission's view was originally articulated in the context of an opinion by its General Counsel regarding participation by broker-dealer firms in proxy solicitations, nothing in the language of that release indicates that its position could not also be extended to other independent, disinterested parties engaged in the same activity. *See* Broker-Dealer Release.

an additional qualification that the Commission did not articulate.[154]

We further note that these commenters' position is inconsistent with the treatment of other disinterested parties under the current proxy regulatory scheme. Shareholders today exercise their voting rights through an intricate proxy process involving numerous intermediaries, such as broker-dealers, that each play an important role. Most shareholders own their securities in "street name," with their broker-dealers and banks generally holding the securities in their name on behalf of their customers and possessing the legal authority to vote those shares. Under the current proxy process and rules, these broker-dealers and banks must forward a company's proxy materials to their customers and seek voting instructions (often called "voting instruction forms") from the customers on whose behalf they hold those shares. These activities are currently treated as solicitations under the proxy rules, with the Commission generally exempting them from the informational and filing requirements, despite the fact that the broker-dealers and banks have no interest in the outcome of the matters being presented for a vote and no involvement in the preparation of the materials being sent to the customers.[155] Those who have considered the issue,

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[154] The commenters also cite the 1979 and 1992 releases as evidence that the Commission intended to narrow the scope of the term "solicitation" so as to avoid including communications by disinterested fiduciaries. *See, e.g.*, letter from ISS (citing Communications Among Shareholders Adopting Release; 1979 Adopting Release). However, those releases reinforced the Commission's view of the breadth of the term by creating additional exemptions from the proxy filing rules. *See* Communications Among Shareholders Adopting Release at 48278 (creating an exemption from the proxy filing rules for solicitations by persons not seeking proxy authority who do not have a substantial interest in the matter subject to a vote); 1979 Adopting Release at 68766-67 (creating an exemption from the proxy filing rules for voting advice provided to persons with whom a financial advisor has a business relationship). In other words, the Commission recognized that certain classes of market participants were conducting activities that constituted "solicitations," but sought to grant them relief from the proxy filing rules by adopting applicable exemptions. Had the Commission interpreted the term "solicitation" as not applying to those market participants' activities, no such exemption from the proxy filing rules would have been necessary in the first place. Also, had the Commission intended to narrow the scope of the term "solicitation" to avoid its application to those classes of market participants, it would have amended the definition thereof in Rule 14a-1(l) appropriately. In fact, in the 1992 release, the Commission acknowledged that even though it considered (but did not ultimately adopt) proposed amendments exempting from the proxy filing rules all communications by "'disinterested' persons who are not seeking proxy authority," such communications under that proposal would still have constituted "solicitations" and "remained subject to antifraud standards." Communications Among Shareholders Adopting Release at 48278.

[155] *See* 17 CFR 240.14a-2(a)(1); *see also* Jill E. Fisch, *Standing Voting Instructions: Empowering the Excluded Retail Investor*, 120 MINN. L. REV. 11, 40-41 (2017) (noting that broker-dealers' requests for voting instructions from their

including at least one court, have recognized that the forwarding of a company's proxy materials and requests for voting instructions by broker-dealers constitute a form of soliciting activity subject to the Commission's rules.[156]

In addition, market observers, including proxy voting advice businesses themselves, have long recognized that the provision of proxy voting advice may constitute a "solicitation" subject to the proxy rules.[157] Notably, one proxy voting advice business that now argues that the Commission lacks authority to regulate proxy voting advice as a "solicitation" submitted a letter to the Division of Corporation Finance in 1988 requesting no-action relief from the Commission's proxy filing rules.[158] The proxy voting advice business did not request relief on the basis that its proxy voting advice should not be considered a "solicitation." Instead, the letter appears to

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customers "fall[] within the SEC's definition of a proxy solicitation" and that Rule 14a-2(a)(1) "exempts the broker from the filing requirements and the obligation to furnish a proxy statement").

[156] *See, e.g.*, *Walsh & Levine v. The Peoria & E. R. Co.,* 222 F.Supp. 516, 518-19 (S.D.N.Y. 1963) ("[I]f brokers transmit some but not all proxy solicitations to those for whose benefit they hold in street name, they are acting in contravention of the Commission rules if they fail to fulfill the duties required of active proxy solicitors."); Broker-Dealer Release at 342 ("[I]t is quite clear . . . that the transmission to customers of proxy material furnished by the issuer or any other person who is soliciting a proxy, is clearly itself the solicitation of a proxy, since the material is transmitted under circumstances reasonably calculated to result in the procurement, withholding or revocation of a proxy."); Fisch, *supra* note 155 at 40; Council of Institutional Investors, *Client Directed Voting: Selected Issues and Design Perspectives* (August 2010) ("Rule 14a-(l) under the Exchange Act defines solicitation to include the 'furnishing of a form of proxy or other communication to security holders under circumstances reasonably calculated to result in the procurement, withholding or revocation of a proxy,' subject to certain exceptions. Communications sent by brokers to encourage participation in a [client directed voting] model would appear to fall within this definition absent an exemption, and the SEC staff agrees with this conclusion. As such, brokers would have to comply with the proxy solicitation rules, including principally the disclosure and SEC filing requirements applicable to proxy materials.").

[157] *See, e.g.*, Sagiv Edelman, *Proxy Advisory Firms: A Guide for Regulatory Reform*, 62 EMORY L.J. 1369, 1378 (2013) ("Due to the expansive definition of solicitation, proxy advisory firms would be subject to federal proxy rules if not for the exemption found in Exchange Act Rule 14a-2(b)(3)."); Douglas G. Smith, *A Comparative Analysis of the Proxy Machinery in Germany, Japan, and the United States: Implications for the Political Theory of American Corporate Finance*, 58 U. PITT. L. REV. 145, 201 n.284 (1996) ("Furnishing of proxy voting advice by an investment advisor is exempt [from the proxy filing rules] under certain circumstances."); John C. Coffee, Jr., *Liquidity Versus Control: The Institutional Investor as Corporate Monitor*, 91 COLUM. L. REV. 1277, 1358 (1991) ("The legal issue is whether the provision of proxy advice amounts to a proxy 'solicitation' under SEC Rule 14a-1. Clearly, the definition of solicitation reaches this far . . . ."); Bernard S. Black, *Shareholder Passivity Reexamined*, 89 MICH. L. REV. 520, 530 (1990) ("Nor are the Proxy Rules limited to communications by the contestants. A third party who proffers voting advice is 'soliciting' votes."). *See also infra* notes 158-161 and accompanying text.

[158] Institutional Shareholder Services, Inc., 1991 SEC No-Act. LEXIS 17 (Dec. 15, 1988).

implicitly assume that such advice could be a "solicitation" by requesting relief from the proxy filing rules under the predecessor exemption to current Rule 14a-2(b)(3) on the basis that its proxy voting advice was provided to persons with whom it had a business relationship.[159] Further, as recently as 2016, the CEO of another proxy voting advice business testified that "[p]roxy advisory firms also are subject to the Securities and Exchange Commission's proxy solicitation rules under the [Exchange Act]."[160] The CEO further testified that "proxy voting advisors operating today . . . are generally deemed by the SEC as qualifying for the exemptions based on rules 14a-2(b)(1) and 14a-2(b)(3)."[161] These statements suggest that the proxy voting advice business industry has understood for over 30 years that its proxy voting advice constitutes a "solicitation" under Rule 14a-1(l), or at least that the Commission may consider their proxy voting advice to constitute a "solicitation."

Some commenters also asserted that our amendments to Rule 14a-1(l)(1)(iii) will increase proxy voting advice businesses' costs or interfere with their ability to provide services to their clients. Specifically, commenters indicated that the amendments could increase litigation risks for proxy voting advice businesses or have a chilling effect on shareholder communications.[162] Although we acknowledge that compliance with the new conditions we are adopting to the exemptions in Rules 14a-2(b)(1) and 14a-2(b)(3) may increase the resources that proxy voting advice businesses apply to ensuring compliance with applicable law and regulation,[163] we disagree

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[159] *See id.*

[160] Katherine H. Rabin, Chief Executive Officer, Glass, Lewis & Co., Statement to the U.S. House of Representatives Committee on Financial Services: Markup of H.R. 5983, the "Financial CHOICE Act of 2016," at 3 (September 13, 2016), *available at* https://www.glasslewis.com/wp-content/uploads/2016/09/2016_0912_Glass-Lewis-Statement-re-H.R.-5983_final.pdf.

[161] *Id.*

[162] *See supra* notes 101-105 and accompanying text.

[163] *See infra* Section IV.

that our amendments to Rule 14a-1(l)(1)(iii), taken in isolation, will have a material impact on the operation of a proxy voting advice business.[164] To the contrary, the fact that both the Commission and the market generally, including proxy voting advice businesses, have long recognized that proxy voting advice generally constitutes a "solicitation" indicates that any impact from codifying this aspect of the definition of a solicitation likely is already reflected in the manner in which proxy voting advice businesses' provide their services and the pricing thereof.

Finally, in the Interpretive Release, we stated our view that proxy voting advice based on a proxy voting advice business's application of custom policies generally should be considered a "solicitation" under Rule 14a-1(l).[165] We continue to hold that view for the reasons stated in the Interpretive Release. As a result, such proxy voting advice is subject to Rule 14a-9, and persons who provide such advice in reliance on the exemptions in either Rule 14a-2(b)(1) or (b)(3) must comply with the conflicts of interest disclosure requirements set forth in new 17 CFR 240.14a-2(b)(9)(i) ("Rule 14a-2(b)(9)(i)").[166] Some commenters recommended that we amend Rule 14a-1(l) to exclude from the definitions of "solicit" and "solicitation" proxy voting advice that is based on investors' custom policies.[167] These commenters' concerns, however, focused largely on subjecting investors' custom policies, and the proxy voting advice that is based thereon, to the

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[164] To the extent that some proxy voting advice businesses did not previously understand their proxy voting advice to constitute a solicitation and thus subject to Rule 14a-9 liability, it is possible that the codification of the Commission's longstanding view could have some economic effects. See *infra* Section IV.B.

[165] Commission Interpretation on Proxy Voting Advice at 47418. For a description of the services that one major proxy voting advice business offers in connection with its clients' custom policies, *see* ISS, CUSTOM POL'Y & RES., https://www.issgovernance.com/solutions/governance-advisory-services/custom-policy-research/ (last visited Jun. 19 2020).

[166] *See infra* Section II.D. for a discussion of the amendments we are adopting to Rule 14a-9 and Section II.B *infra* for a discussion of new Rule 14a-2(b)(9)(i).

[167] *See supra* note 112 and accompanying text.

proposed review and response mechanism outlined in the Proposing Release.[168] As discussed in more detail below, new 17 CFR 240.14a(b)(9)(v) ("Rule 14a-2(b)(9)(v)") excludes from the notice requirement of new 17 CFR 240.14a-2(b)(9)(ii) ("Rule 14a-2(b)(9)(ii)") proxy voting advice to the extent such advice is based on custom policies.[169] As such, notwithstanding the fact that we are not excluding from the definitions of "solicit" and "solicitation" proxy voting advice that is based on custom policies, we believe that we have appropriately taken into account the substance of these commenters' concerns.

As noted above, one commenter asserted that proxy voting *agent* businesses should not be subject to the same regulations as proxy voting advice businesses.[170] The commenter's position that its services differ from a proxy voting advice business's and should not be considered a "solicitation" appears to be based, in part, on the fact that it only votes its clients' shares in accordance with its clients' custom policies.[171] As with any other person, including any proxy voting advice business, to the extent a business is providing proxy voting advice to a client—regardless of whether such advice is based on its proprietary benchmark or specialty policies or its client's custom policies—such advice will constitute a "solicitation" under Rule 14a-1(l)(1)(iii)(A). However, the commenter and another commenter—both of which are investment advisers and were identified as proxy voting advice businesses in the Proposing Release—also asserted that their activities do not constitute "solicitations" because they vote their clients' shares

[168] *See, e.g.*, letter from ISS (expressing concern about disclosing "clients' proprietary custom voting policies and the recommendations based thereon" and doubt as to the "investor protection to be gained by allowing issuers to vet the methodologies and assumptions institutional investors choose to implement for their own portfolios").

[169] *See infra* Section II.C.3.c.i.

[170] *See supra* note 113 and accompanying text.

[171] *See* letter from Segal Marco II.

on behalf of their clients rather than providing them with voting recommendations.[172] We agree that to the extent a business that provides proxy voting services is not providing any voting recommendations and is instead exercising delegated voting authority on behalf of its clients, such services generally will not constitute "proxy voting advice"—and, therefore, not be a "solicitation"—under Rule 14a-1(l)(1)(iii)(A).[173]

With respect to Rule 14a-1(l)(2), we are also amending this provision as proposed to add paragraph (v) to make clear that the terms "solicit" and "solicitation" do not include any proxy voting advice provided by a person who furnishes such advice only in response to an unprompted request. This amendment codifies the Commission's historical view that such a communication should not be regarded as a solicitation subject to the proxy rules.[174] As we explained in the Proposing Release, we believe that a proxy voting advice business providing voting advice to a client where the client's request for the advice has been invited and encouraged by such business's marketing, offering, and selling, such advice should be distinguished from advice provided by a person only in response to an unprompted request from its client. In our view, the information and filing requirements of the proxy rules (including the filing and furnishing of a proxy statement with information about the registrant and proxy cards with means for casting votes) or compliance with the new conditions we are adopting to the exemptions described below, are appropriate for a person who chooses to actively market and sell its proxy voting advice as that person's actions are reasonably designed to result in the procurement, withholding, or revocation of a proxy. Those requirements, however, are ill-suited for a person who receives an unprompted request from a

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[172] *See supra* notes 99-100 and accompanying text.

[173] Separately, we note that the Commission has provided guidance to investment advisers which discusses how the fiduciary duty and rule 206(4)-6 under the Advisers Act relate to an investment adviser's exercise of voting authority. *See infra* note 400.

[174] *See supra* note 84.

client for its views on an upcoming matter to be presented for shareholder approval. For example, a person who does not sell voting advice as a business and who provides such advice only in response to an unprompted request from its client is unlikely to anticipate the need to establish the internal processes necessary to comply with the new conditions we are adopting to the exemptions in Rules 14a-2(b)(1) and 14a-2(b)(3).

We also believe, based on our understanding of the dynamics of the proxy voting advice market as it currently operates, that a person that provides proxy voting advice only in response to unprompted requests and does not market its expertise in such services is less likely to present an investor protection or market integrity concern. For example, we believe such one-off advice to individual clients lacks the system-wide significance of advice provided by proxy voting advice businesses who, as described above, have come to occupy a unique and important position in that process.[175] Although one commenter recommended that 17 CFR 240.14a-1(l)(2)(v) ("Rule 14a-1(l)(2)(v)") be narrowed to exclude only proxy voting advice furnished pursuant to an unprompted request if such advice is also provided "not for compensation,"[176] we consider that amendment unnecessary. In our view, any compensation that may be received for such unprompted proxy voting advice does not present the same investor protection or regulatory concerns because such persons are less likely to engage in widespread marketing of their expertise in providing proxy voting advice.

As noted above, one commenter opposed the amendment to Rule 14a-1(l)(2) on the basis that investment advisers and broker-dealers may avoid announcing their willingness to provide voting advice on Forms ADV and CRS out of concern that they would fall outside the scope of

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[175] *See supra* notes 6-10 and accompanying text.

[176] *See* letter from Exxon Mobil.

new Rule 14a-1(l)(2)(v) and be deemed to be prompting a request for proxy voting advice.[177] We believe, however, that the text of new Rule 14a-1(l)(1)(iii)(A) is sufficiently precise to avoid this concern. Where an investment adviser or broker-dealer is describing the services it provides to its clients or customers, which may include proxy voting advice, we believe that such investment adviser or broker-dealer should not be deemed to be "market[ing] its expertise as a provider of such proxy voting advice, separately from other forms of investment advice, and sell[ing] such proxy voting advice for a fee."[178] This same commenter also expressed concern that the amendment to Rule 14a-1(l)(2) could be counterproductive from an investor protection standpoint as the proxy rules would apply to experts with proxy advice-related skills and resources but not to individuals with less relevant expertise who engage in the same activities.[179] We disagree. As we noted in the Proposing Release,[180] we believe that those persons providing voting advice in response to unprompted requests likely will be furnishing such advice to a client with whom there is an existing business relationship. As noted above, proxy voting advice provided under these circumstances does not present the same investor protection or regulatory concerns as proxy voting advice businesses engaged in widespread marketing and sale of proxy voting advice to large numbers of investment advisers and institutional investors who are often voting on behalf of other investors.[181]

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[177] *See* letter from ISS.

[178] 17 CFR 240.14a-1(l)(1)(iii)(A)*; see also supra* notes 124-125.

[179] *See supra* note 117 and accompanying text.

[180] *See* Proposing Release at 66523.

[181] *See supra* text accompanying note 176.